



Guidelines for the Management of Joint Compensation Funds

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TABLE OF CONTENTS

CHAPTER 1. GENERAL PROVISIONS	1
§1. Purpose.....	1
§2. Definition	1
CHAPTER 2. OPERATION OF JCF	2
Section 1. General Principles	2
§3. Management and Operation of the JCF.....	2
§4. Principles of Operation	2
Section 2. General Operation.....	3
§4-2. Methods of General Operation	3
§4-3. Amount of General Operation	3
Section 3. Special Operation	3
§5. Methods of Special Operation	3
§5-2. Amount of Special Operation.....	4
§5-3. Suspension of Special Operation.....	4
§6. Deposit Institution of Special Operation	5
Section 4. Calculation, etc. of Proceeds from JCF	5
§7. Calculation of Proceeds	5
§8. Pro Rata Allocation of Proceeds and Notification Thereof.....	5
§9. Receipt or Payment of Difference in JCF, etc.	6
§9-2. Settlement for withdrawing/converting Members	6
CHAPTER 3. USE OF JCF	7
§10. Use of JCF	7
CHAPTER 4. Supplementary Provisions	7
§11. Status Report.....	8
§12. Issuance of Certificates.....	8

ADDENDA.....	9
[Annex: Form No. 1] Certificate of Contribution to Joint Compensation Funds.....	12
[Annex: Form No. 2] Certificate of Contribution to OTC Derivatives Joint Compensation Fund	13

CHAPTER 1. GENERAL PROVISIONS

§1. Purpose

The purpose of this Guidelines is to stipulate the matters necessary for the management and operation of the joint compensation funds (hereinafter referred to as the “JCF”) pursuant to the Articles 323-14 and 394 of the Financial Investment Services and Capital Markets Act. (Amended on March 28, 2014; February 15, 2019)

§2. Definition

(1) The term ‘members’ in this Guidelines refers to the clearing members under [§3(2)1] of the Membership Regulation and the clearing member under the [§2(1)3] of the OTC Derivatives Clearing Business Regulation (hereinafter referred to as the “Clearing Business Regulation”). (Amended on March 28, 2014; February 15, 2019)

(2) The term ‘Exchange market JCF’ in this Guidelines means the JCF of the securities market and derivatives market, and the term ‘OTC derivatives JCF’ means the JCF for the OTC derivatives. [March 28, 2014] (Amended on February 15, 2019)

(3) The term ‘general operation’ in this Guidelines refers to operating the JCF accumulated in cash through financial instruments that allow the deposit thereto and withdraw therefrom at any time. [December 30, 2010] (Amended on February 15, 2019)

(4) The term ‘special operation’ in this Guidelines refers to operating the JCF contributed in cash through the methods other than the general operation as specified in each of the subparagraphs of [§5(10)]. [December 30, 2010] (Amended on February 15, 2019)

(5) The term ‘management department’ in this Guidelines means a department that is in charge of clearing and settlement services of the Korea Exchange (hereinafter referred to as “the Exchange”) and responsible for the matters concerning the management and general operation of the JCF. (Amended on December 30, 2010; March 28, 2014; February 15, 2019)

(6) The term ‘operation department’ in this Guidelines means a department that is in charge of the financial and accounting business of the Exchange and responsible for the matters concerning the special operation of the JCF. (Amended on December 30, 2010; February 15, 2019)

(7) The term “CCP risk management department” in this Guidelines means a department that is in charge of the business of CCP risk management and responsible for the matters concerning suspension of special operation, etc. [February 15, 2019]

CHAPTER 2. OPERATION OF JCF

Section 1. General Principles

§3. Management and Operation of the JCF

(1) The head of the management department shall manage the JCF separately for each member who has made contributions to the JCF.

(2) The head of the management department and the head of the operation department shall keep accounting for the JCF separately from other properties of the Exchange. (Amended on December 30, 2010)

(3) The head of the management department and the head of the operation department shall operate the JCF by classifying it as follows: (Amended on December 30, 2010; May 28, 2014; January 22, 2016)

1. Securities market JCF;

2. Derivatives market JCF;

3. OTC derivatives JCF; and

4. The JCFs under subparagraphs 1 through 3 shall be managed being divided into the amount for compensation of damages already incurred and the amount for compensation of damages incurring from future settlement failures.

(4) The operation of JCF accumulated in cash shall be classified into the general operation and the special operation. [December 30, 2010]

(5) [Deleted on May 13, 2016]

§4. Principles of Operation

(1) The JCF shall be operated considering the safety as the top priority so that the operational risk can be minimized, while taking into account the cashability and profitability, etc.

(2) When the JCF is operated by being deposited with a bank or a securities finance company (hereinafter referred to as “deposit operation”), the amount deposited with a single settlement bank or securities finance company shall not exceed 50 percent of the total amount for deposit operation. In the case of the OTC derivatives JCF, however, this shall apply only when the amount of cash deposit is no less than KRW 50 billion for twenty (20) or more trading days in a row. [November 13, 2014] (Amended May 21, 2015)

Section 2. General Operation

§4-2. Methods of General Operation

(1) The head of management department shall conduct the general operation of the JCF by the method of depositing it in financial instruments allowing deposit and withdrawal at any time which are managed by a bank falling under any of the following subparagraphs or a securities finance company (hereinafter referred to as the “settlement bank, etc.”): (Amended on June 24, 2013; March 28, 2014)

1. A bank where a fund settlement account is open for delivering and receiving settlement payments in the securities markets or net cash settlement amounts in the derivatives market; or
2. A bank where an account under the name of the Exchange is open pursuant to [§69] of the Clearing Business Regulation.

(2) In cases where the liquidity of the amount of JCF for general operation in a settlement bank, etc. is insufficient or expected to be insufficient, the general operation amount in other settlement banks, etc. may be transferred to the concerned settlement bank, etc. (Amended on June 24, 2013)

[December 30, 2010]

§4-3. Amount of General Operation

The general operation shall be conducted for the amount other than the amount managed under the special operation. [December 30, 2010]

Section 3. Special Operation

§5. Methods of Special Operation

(1) Pursuant to Articles 318-8(4) and 362(5) of the Enforcement Decree of the Financial Investment Services and Capital Markets Act, the head of the operation department shall conduct the special operation by the methods noted in each of the following subparagraphs: (Amended on December 30, 2010; March 28, 2014; February 15, 2019)

1. Purchasing government bonds, municipal bonds or monetary stabilization bonds of the Bank of Korea under [§69] of the Bank of Korea Act;
2. Purchasing guaranteed corporate bonds;
3. Lending to, or depositing in securities finance companies or purchasing corporate bonds issued by securities finance companies; and

4. Depositing in banks.

(2) The head of the operation department shall maintain the amount operated by the methods under subparagraphs 1 and 2 of paragraph (1) below 50 percent of the special operation amount. (Amended on December 30, 2010)

(3) The head of the operation department may deposit a certain amount in financial instruments that allow deposit and withdrawal at any time, for the receipt and payment of the special operation amount, management of proceeds therefrom and the convenience of conversion into cash. In this case, the operation amount shall be determined separately by the head of operation department. (Amended on December 30; 2010; January 22, 2016)

(4) The head of the management department may request the head of the operation department for designation or change of the operation method within the scope specified in paragraphs (1) through (3).

§5-2. Amount of Special Operation

(1) The amount to be operated by special operation shall be determined by the head of the management department considering the amount accumulated in cash, management of settlement risks and other circumstances. (Amended on March 28; 2014 and January 22, 2016)

1. [Deleted on January 22, 2016]
2. [Deleted on January 22, 2016]
3. [Deleted on January 22, 2016]

(2) The head of the management department shall calculate the amount available for the special operation by the last trading day (in the case of OTC derivatives JCF, it shall be the last business day) of the first month of every quarter and notify it to the head of operation department and the head of CCP risk management department. (Amended on March 28, 2014; January 22, 2016; February 15, 2019)

(3) Notwithstanding paragraph (2), it may not be notified in cases where it falls under any of the following subparagraphs: [January 22, 2016] (Amended on February 15, 2019)

1. Case where there is no change in the amount of special operation; and
2. Case where the Board of Directors of the Exchange determines the payment deadline of the JCF separately.

[December 30, 2010]

§5-3. Suspension of Special Operation

(1) In cases where the liquidity of the general operation is insufficient or expected to be insufficient, the head of CCP risk management department may suspend the whole or a part of the special operation, in consultation with the head of operation department and the head of management department. (Amended on February 15, 2019)

(2) The expenses incurred by the suspension of the special operation shall be covered by the operating proceeds.

[December 30, 2010]

§6. Deposit Institution of Special Operation

In cases where the special operation amount is deposited with banks, it shall be deposited with the banks under subparagraph 1 or 2 of [§4-2(1)]. (Amended on July 27, 2018)

[May13, 2016]

Section 4. Calculation, etc. of Proceeds from JCF

[December 30, 2010]

§7. Calculation of Proceeds

(1) The proceeds from the JCF operation shall be calculated based on the date on which the proceeds accrue. In this case, for the discount bonds, the interests of which are paid in advance, from among the instruments referred to in subparagraphs 1 through 3 of [§5(1)], the maturity date or the disposal date shall be deemed the accrual date of proceeds. (Amended on October 23, 2009; December 30, 2010)

(2) In cases where corporate income tax or local income tax was withheld when calculating the proceeds pursuant to paragraph (1), the withheld tax amount shall be deducted, and the deducted corporate income tax or local income tax shall be added up to the member margin when the Exchange receives the tax deduction on the withheld corporate income tax or local income tax through the corporate tax report or the local income tax report. (Amended on October 23, 2009; December 30, 2010; March 30, 2016)

(3) When calculating the proceeds pursuant to paragraph (1), the head of the operation department shall notify the head of the management department of the information on accrual period, amount of proceeds and details of withholding tax thereof, etc., along with the status of operation, on a quarterly basis. (Amended on December 30, 2010)

(4) The head of the operation department shall deposit the accrued proceeds in the general operation account under [§4-2(1)]. [December 30, 2010]

§8. Pro Rata Allocation of Proceeds and Notification Thereof

(1) The head of the management department shall make pro rata allocation of the proceeds from the operation of the JCF according to the cash contribution ratio of each member during the accrual period of proceeds on the basis of every quarter-end, and add the proceeds to the principal amount within twenty (20) days from the first day of the next quarter. (Amended on October 23, 2009; December 30; 2010; March 28, 2014)

(2) The cash contribution ratio noted in paragraph (1) shall be calculated by dividing the total amount of daily cash contribution to the JCF of a member by the aggregate amount of daily total cash contribution to the JCF, and the figures after the 15th decimal place shall be discarded. (Amended on October 23, 2009; December 30, 2010; March 28, 2014)

(3) [Deleted on October 23, 2009]

(4) The pro rata allocation amount of each member shall be rounded off at the first decimal place, and, if, as a result of the round-off, the total amount of proceeds allocated to each member exceeds (or falls short of) the total amount of proceeds to be allocated, the difference shall be retained by deducting (or adding) KRW 1 from (or to) the members in turn one after another from the member with the largest amount of allocation. (Amended on March 28, 2014)

§9. Receipt or Payment of Difference in JCF, etc.

(1) The head of the management department shall receive or pay the clearing members the Exchange market JCF contribution amounts from or to the clearing members pursuant to [§23] of the Membership Regulation and [§9-3] of the Enforcement Rules of the same Regulation, and receive or pay the OTC derivatives JCF contribution amounts from or to the clearing members pursuant to [§26] of the OTC Derivatives Clearing Business Regulation and [§13] of the Enforcement Rules of the same Regulation.

(2) Notwithstanding paragraph (1), if it deems necessary, the Exchange may change the period of receipt or payment of the difference of the JCF.

(3) The head of the management department shall handle the deposit or withdrawal of the JCF in accordance with [§9-3(6)] of the Enforcement Rules of Membership Regulation and [§14(4)] of the Enforcement Rules of OTC Derivatives Clearing Business Regulation.

(4) The matters related to the notification, receipt or payment, deposit, withdrawal, etc. of the contribution amount of the JCF and the matters related to the pro rata allocation of proceeds and the notification thereof, etc. shall be handled through the Exchange system and the OTC derivatives clearing system of the Exchange or other methods recognized by the Exchange.

[Wholly amended on September 28, 2018]

§9-2. Settlement for withdrawing/converting Members

(1) When a clearing member withdraws its membership or converts into a non-clearing member, the head of the management department shall return or pay the principal and proceeds of the Exchange market JCF to the relevant member as stipulated in each of the following subparagraphs: (Amended on December 30, 2010; March 28, 2014)

1. For principal, within twenty (20) days from the date of withdrawal or conversion; and
2. For proceeds, within twenty (20) days from the end of the quarter which includes the date when the Exchange received the proceeds.

(2) When a clearing member withdraws its membership, the head of the management department shall return or pay the principal and proceeds of the OTC derivatives JCF to the relevant member as stipulated in each of the following subparagraphs: (Amended on March 28, 2014)

1. For principal, within twenty (20) days from the date of withdrawal. However, for any member who is deemed a clearing member pursuant to [§20] of the Clearing Business Regulation, within 20 days from the date when the loss caused by a settlement default of other clearing members was finalized and completely compensated; and

2. For proceeds, within twenty (20) days from the end of the quarter which includes the date when the Exchange received the proceeds.

(3) Notwithstanding paragraphs (1) and (2), in cases where it is impossible to make the payment of proceeds due to the extinction of corporate personality, etc., the proceeds shall belong to the members as of the accrual date of the proceeds. [March 28, 2014]

[October 23, 2009]

CHAPTER 3. USE OF JCF

§10. Use of JCF

(1) In the event that a settlement default of a member has occurred, the head of CCP risk management department may use the JCF to compensate the losses incurred by the settlement default. (Amended on December 30, 2010; March 28, 2014; February 15, 2019)

(2) In the case of paragraph (1), the priority of using the financial resources shall be determined considering the cashability among the JCFs that are operated by the operation methods under [§5]. (Amended on March 28, 2014)

(3) Notwithstanding paragraphs (1) and (2), in cases where a member fails to deposit the settlement amount or the net cash settlement amount by the deadline and subsequently the Exchange uses the JCF to supply liquidity pursuant to [§36] of the Securities Market Clearing and Settlement Regulations, [§105] of the Derivatives Market Business Regulation and [§73] of the OTC Derivatives Clearing Business Regulation, such liquidity provision shall be conducted as separately set by the Exchange. (Amended on December 30, 2010; September 17, 2013; March 28, 2014; February 27, 2025)

CHAPTER 4. Supplementary Provisions

§11. Status Report

(1) [Deleted on February 15, 2019]

(2) The head of operation department shall report to the Executive Director in charge the current status of special operation as at the end of each quarter along with the documents on settlement of accounts. (Amended on December 30, 2010)

§12. Issuance of Certificates

The head of management department shall issue the certificate of contribution to the JCF in accordance with the attached forms when a clearing member requests for it.

ADDENDA

(February 27, 2009)

§1. Effective Date

This Guidelines shall become effective on March 2, 2009.

§2. Repeal of Other Guidelines

The Management Guidelines of the Default Loss Joint Compensation Fund and the Management Guidelines of the Joint Compensation Fund shall be repealed at the same time when this Guidelines becomes effective.

ADDENDA

(October 23, 2009)

§1. Effective Date

This Guidelines shall become effective on November 1, 2009.

§2. Cases of Application concerning Calculation and Payment of Proceeds

The proceeds from financial instruments in operation as of the effective date of this Guidelines shall be paid pro rata in the month following the end of the quarter which includes the date when the relevant proceeds were received. In this case, the proceeds prepaid in accordance with the former Guidelines shall be deducted.

ADDENDA

(December 30, 2010)

§1. Effective Date

This Guidelines shall become effective on January 1, 2011. However, the amended provisions of [§5(2)] shall become effective on April 1, 2011.

§2. Interim Measures for Special Operation Amount

Notwithstanding the amended provisions of [§5-2(1)], the amount of special operation shall be maintained at least 80% of the total accumulation amount of the JCFs of the securities market and the derivatives market until March 31, 2011 and at least 65% until June 30, 2011.

ADDENDUM
(Regulation No. 334 / June 24, 2013)

This Guidelines shall become effective on July 1, 2013.

ADDENDUM
(Regulation No. 346 / September 17, 2013)

This Guidelines shall become effective on September 17, 2013.

ADDENDUM
(Regulation No. 385 / March 28, 2014)

This Guidelines shall become effective on March 31, 2014.

ADDENDA
(Regulation No. 426 / November 13, 2014)

§1. Effective Date

This Guidelines shall be effective from November 17, 2014.

§2. [Deleted on May 21, 2015]

ADDENDUM
(Regulation No. 446 / May 21, 2015)

This Guidelines shall become effective on May 26, 2015.

ADDENDUM
(Regulation No. 481 / January 22, 2016)

This Guidelines shall become effective on January 25, 2016.

ADDENDUM
(Regulation No. 492 / March 30, 2016)

This Guidelines shall become effective on March 30, 2016.

ADDENDUM
(Regulation No. 497 / May 13, 2016)

This Guidelines shall become effective on May 30, 2016.

ADDENDUM
(Regulation No. 607 / July 27, 2018)

This Guidelines shall become effective on July 30, 2018.

ADDENDUM
(Regulation No. 612/ September 28, 2018)

This Guidelines shall become effective on October 1, 2018.

ADDENDUM
(Regulation No. 631 / February 15, 2019)

This Guidelines shall become effective on February 15, 2019.

ADDENDUM
(Regulation No. 926 / February 27, 2025)

This Guidelines shall become effective on March 4, 2025..

[Annex: Form No. 1] Certificate of Contribution to Joint Compensation Funds

Certificate of Contribution to Joint Compensation Funds

To _____(Name of member)

■ Amount of contribution to JCFs (as of mm/dd/yyyy)

	Securities market JCF	Derivatives market JCF
In cash	KRW	KRW
In substitute securities	KRW	KRW
Total	KRW	KRW

■ Details of substitute securities, if applicable

	Name of issue	Code no.	Quantity	Amount
Securities market				KRW
Derivatives market				KRW

This is to certify that the amount of the Joint Compensation Funds contributed by the above mentioned member as of (mm/dd/yyyy) is the same as stated above.

Chairperson of the Korea Exchange (seal)

[Annex: Form No. 2] Certificate of Contribution to OTC Derivatives Joint Compensation Fund

Certificate of Contribution to OTC Derivatives Joint Compensation Fund

To _____(Name of member)

■ Amount of contribution to OTC derivatives JCF (as of mm/dd/yyyy)

	OTC derivatives market JCF
In cash	KRW
In substitute securities	KRW
Total	KRW

■ Details of substitute securities, if applicable

Name of issue	Code no.	Quantity	Amount
			KRW
			KRW

This is to certify that the amount of the OTC Derivatives Joint Compensation Fund contributed by the above mentioned member as of (mm/dd/yyyy) is the same as stated above.

Chairperson of the Korea Exchange (seal)